Notes: Kroszner and Stratmann (AER, 1998)

Interest-Group Competition and the Organization of Congress: Theory and Evidence from Financial Services' Political Action Committees

Contents

1 Big picture

- **Research question.** How does competition among organized interest groups shape the organization of Congress? More specifically, why does Congress use specialized standing committees, and do campaign-contribution patterns reveal repeated relationships between PACs and committee members?
- **Main idea.** Interest groups cannot legally write enforceable fee-for-service contracts with legislators. Legislators therefore have an incentive to create institutions that make implicit exchange more credible. Specialized standing committees do this by generating repeated interactions between PACs and the legislators who control the relevant policy area.
- **Theory.** Standing committees support a reputational equilibrium: PACs provide high contributions, and committee members provide high effort for the interest groups with which they have developed clear reputations.
- **Empirical setting.** The paper studies financial-services PACs during the congressional fight over bank entry into securities and insurance activities. The main committee is the House Banking Committee, and the main PAC groups are commercial banks, securities firms/investment banks, and insurance companies.
- **Main cross-sectional finding.** Members of the House Banking Committee receive much larger financial-services PAC contributions than nonmembers.
- **Main competition finding.** Rival financial-services PACs tend to match each other's giving to noncommittee legislators, but they tend to concentrate on different members of the Banking Committee. This pattern is exactly what the reputation theory predicts.
- **Main dynamic finding.** As a legislator spends more time on the Banking Committee, the sources of financial-services PAC contributions become more concentrated. This is interpreted as evidence of reputation building.
- **Switching finding.** Committee members with less concentrated financial-services PAC support are more likely to leave the Banking Committee. This is consistent with the idea that legislators who fail to develop valuable committee-specific reputations are more likely to switch.
- **Economic takeaway.** The committee system is not only a way for legislators to process information or organize logrolls. It can also be an institutional response to the contracting problem between legislators and competing interest groups.

2 Incremental contribution of the paper

- **Adds interest-group competition to theories of Congress.** Prior positive theories of legislative organization emphasize logrolling, information, party control, or delegation. Kroszner and Stratmann add a distinct mechanism: Congress organizes itself partly to support repeated relationships with interest groups.
- **Explains committee structure from implicit contracting.** The paper links three features of the modern committee system–standing committees, stable assignments, and specialized jurisdictions–to the need for repeated dealing and reputation formation.

- **Uses competing PACs rather than total PAC money.** The empirical design does not only ask whether PACs give more to powerful legislators. It asks whether rival PACs allocate money differently to committee members and nonmembers.
- **Provides a dynamic test of reputation.** The paper studies whether contribution sources become more concentrated with committee seniority. This is a direct implication of reputation formation that is hard to explain with static access-buying stories alone.
- **Links congressional organization to regulatory politics.** The financial-services setting is useful because commercial banks, securities firms, and insurance companies had identifiable and conflicting preferences over Glass-Steagall repeal and bank powers.
- **Policy relevance.** The theory has implications for term limits, campaign-finance reform, and anticorruption enforcement because all of these can alter the value of long-term PAC-legislator relationships.

3 Institutional and legislative setting

3.1 Why financial services are a useful setting

The paper focuses on the congressional debate over whether commercial banks should be allowed to enter securities and insurance businesses.

- **Commercial banks.** Banks wanted to expand their powers, especially by repealing or weakening the Glass-Steagall restrictions on securities activities.
- **Securities firms and investment banks.** These firms generally opposed commercial-bank entry into securities underwriting because banks would become direct competitors.
- **Insurance companies.** Insurance interests opposed banking reforms unless the legislation also restricted bank entry into insurance.
- **House Banking Committee.** This committee had jurisdiction over major bank-power legislation, so it was the central venue for repeated interaction between financial-services PACs and legislators.

Interpretation. The setting has clearly organized interests, identifiable policy conflict, and a specialized committee with authority over the issue. That makes it suitable for testing whether committee membership supports reputational relationships with competing interest groups.

3.2 Glass-Steagall and bank powers

The 1933 Glass-Steagall Act separated commercial banking from investment banking. Commercial banks repeatedly sought legislative changes that would let them enter securities businesses. Securities firms lobbied to preserve the barriers. Insurance companies were also involved because banking reform could affect bank authority to sell insurance products.

- The legislative battles were active through the 1980s and early 1990s.
- Broad reform efforts repeatedly failed in part because the financial-services industries disagreed with one another.

- The paper uses this competition to study whether rival PACs target the same legislators or different legislators.

Interpretation. The empirical design depends on rival interests having both common pro-business goals and sharp conflicts on committee-specific regulatory issues. Outside the committee, PACs may all give to broadly pro-business legislators. Inside the committee, their regulatory conflicts should dominate.

4 Theory and empirical predictions

4.1 The contracting problem

Legislators want reelection, and campaign contributions help them achieve it. PACs want legislative services: bill drafting, agenda control, amendments, negotiations, oversight pressure, regulatory influence, and votes.

- In a world with enforceable fee-for-service contracts, legislators could auction legislative effort to the highest-paying interest groups.
- Such contracts are illegal and unenforceable because they look like bribery.
- Without enforcement, either side could renege: PACs could stop giving after a legislator invests in an issue, or legislators could take contributions without providing effort.
- This agency problem reduces the value of PAC-legislator exchange in a one-shot setting.

Interpretation. The paper treats congressional institutions as a second-best solution to the inability to write explicit contracts between legislators and PACs.

4.2 Committees as reputation-building devices

Standing committees make implicit exchange more credible.

- **Repeated interaction.** Committee members repeatedly handle the same policy area, giving PACs more opportunities to observe behavior.
- **Stable assignments.** Legislators can remain on the same committee for long periods, extending the horizon over which reputation matters.
- **Specialized jurisdictions.** Committees give members market power over a policy area, making their efforts especially valuable to relevant PACs.
- **Limited memberships.** Limits on committee seats prevent legislators from opportunistically entering a hot issue area only when contributions are high.

Interpretation. In this framework, committee membership is valuable because it allows a legislator to become a credible specialist for one side of a policy conflict.

4.3 Empirical predictions

The theory implies four main predictions.

1. **Higher contribution levels for relevant committee members.** PACs should give more to members of the committee that controls the relevant policy area.
2. **Different contribution distributions for committee members.** Competing PACs should focus on different committee members because each member can develop a reputation with one side. For nonmembers, the same rival PACs should be more likely to match each other's contributions.
3. **Rising concentration with committee seniority.** As committee members develop clearer reputations over time, the sources of their PAC contributions should become more concentrated.
4. **Breakdown when the relationship horizon shortens.** If a legislator is more likely to leave the committee, the value of reputation falls. Members with weaker reputational concentration should be more likely to switch committees.

Interpretation. The strongest evidence is not simply that committee members receive more money. Many theories predict that. The distinctive evidence is the pattern of rival PAC contributions and its evolution with seniority.

5 Data and measurement

5.1 PAC contribution data

The contribution data come from Federal Election Commission records for five House election cycles from 1983/84 through 1991/92.

- The unit of observation is a legislator-election-cycle.
- The main panel contains 1,671 observations: 171 observations for House Banking Committee members and 1,500 observations for nonmembers.
- Dollar amounts are expressed in real 1992 dollars.
- Financial-services PACs are grouped into three categories: commercial banks, securities firms/investment banks, and insurance companies.
- The authors classify PACs using PAC industrial directories and FEC contribution records.

Interpretation. The sample compares contribution behavior toward the same legislators over multiple cycles, while separating the three rival financial-services groups.

5.2 Legislator and constituency controls

The analysis controls for characteristics that could affect PAC giving independent of reputation.

- **House Banking Committee membership.** Indicator for whether the legislator sits on the relevant committee.
- **Seniority.** Number of election cycles in the House, and for committee members, time on the Banking Committee.
- **Electoral security.** Percent of the vote received in the previous election.

- **Party.** Republican indicator.
- **Ideology.** Americans for Democratic Action score, with 100 representing the most liberal position.
- **Constituency employment.** Percent of district employment in banking, securities, and insurance.

Interpretation. These controls are important because PACs may give to legislators who represent relevant constituencies, who are ideologically aligned, or who are electorally valuable, even without any committee-specific reputation channel.

5.3 Concentration of PAC sources

To study reputation formation, the paper measures whether a committee member's financial-services PAC money comes from many rival sources or from a more concentrated set of supporters.

The concentration measure is a Herfindahl-Hirschman index:

$$HHI_{it} = \sum_{g} s_{g,it}^2,$$

where $s_{g,it}$ is group g's share of the relevant contribution market for legislator i in cycle t.

- One HHI uses only the three financial-services PAC groups.
- A second HHI places financial-services PAC contributions in the broader market of all PAC contributions.
- A higher HHI means more concentrated support, consistent with a more clearly developed reputation with a particular interest group.

Interpretation. If committee reputation becomes clearer over time, committee seniority should be positively related to contribution concentration.

6 Methodology and empirical specifications

6.1 Contribution levels and simple correlations

The first empirical step compares contribution levels for committee members and nonmembers. The second examines simple correlations among rival PAC contributions.

- If all financial-services PACs give to the same generally pro-business legislators, contributions by the three groups should be positively correlated.
- If rival PACs specialize in different committee members, correlations among rival PAC contributions should be lower, zero, or negative within the House Banking Committee.

Interpretation. The simple correlation test is a first look at whether committee membership changes the pattern of competition among PACs.

6.2 Two-stage contribution regressions

Because one PAC's contributions and rival PACs' contributions are jointly determined, the paper uses a two-stage approach. In the first stage, the authors use lagged contributions from the previous election cycle as instruments for current rival PAC contributions. In the second stage, they estimate how one PAC group's giving responds to the fitted values of rival PAC giving.

A representative second-stage specification is:

$$PAC\$_{it} = a + \beta \widehat{RivalPAC}\$_{it} + \delta\left(\widehat{RivalPAC}\$_{it} \times HBC_{it}\right) + \gamma' X_{it} + \lambda'(X_{it} \times HBC_{it}) + \eta' T_t + \varepsilon_{it},$$

where HBC_{it} equals one if the legislator is a House Banking Committee member.

- β measures how PACs respond to rival PAC contributions for noncommittee members.
- $\beta + \delta$ measures the corresponding response for Banking Committee members.
- A positive β and a negative δ are the central prediction.
- The specification includes controls, interactions with committee membership, and election-cycle indicators.

Interpretation. Positive responses among nonmembers reflect matching or broad common interests. Negative interaction terms for committee members indicate that rival PACs do not all buy access to the same committee specialists.

6.3 Seniority and contribution concentration

For House Banking Committee members, the paper estimates:

$$HHI_{it} = \alpha_i + \beta \log(Seniority_{it}) + \eta' T_t + \varepsilon_{it}.$$

- Legislator fixed effects absorb permanent differences across members.
- Election-cycle indicators absorb common time effects.
- A positive coefficient on log seniority means contribution sources become more concentrated as the legislator spends more time on the committee.

Interpretation. This is the dynamic reputation test: committee-specific relationships should become clearer with time.

6.4 Committee switching

The paper then studies whether legislators with weaker reputational concentration are more likely to leave the Banking Committee. The probit model is:

$$SWITCH_{it} = 1\left[\alpha + \beta \widehat{HHI}_{it} + \delta \log(Seniority_{it}) + \gamma' X_{it} + \eta' T_t + \varepsilon_{it} > 0\right].$$

- $SWITCH$ equals one if the member leaves the Banking Committee for another committee.
- The paper uses fitted HHI values to address simultaneity between contribution concentration and switching.

- A negative coefficient on fitted HHI means members with less concentrated reputational support are more likely to switch committees.

Interpretation. The switching test asks whether reputational failure has institutional consequences for committee membership.

7 Identification and interpretation

7.1 What the paper can identify

The paper provides evidence that contribution patterns are consistent with a reputational theory of congressional organization. It does not randomize committee assignments or PAC contributions. Instead, it tests multiple predictions that follow jointly from the theory.

- Higher contribution levels for committee members are suggestive but not unique to the theory.
- Rival-PAC matching for nonmembers combined with rival-PAC specialization for committee members is more distinctive.
- Rising PAC-source concentration with committee seniority provides dynamic evidence.
- Committee switching among members with weaker concentration provides additional support.

7.2 Alternative explanations

Several alternative stories could explain parts of the evidence.

- **Access-buying.** PACs may simply give to legislators with jurisdictional power. This explains high contributions to committee members but not the pattern of rival PAC specialization.
- **Shared ideology.** Financial-services PACs may share pro-business interests. This predicts positive correlations in giving, especially outside the committee, but not the negative committee interactions.
- **Constituency service.** Legislators from districts with many financial-services employees may receive more money. The paper controls for district employment in banking, securities, and insurance.
- **Legislator quality or power.** Senior legislators may attract more PAC money. The paper controls for seniority and uses concentration, not just levels, in the dynamic tests.

7.3 Role of the instruments

The two-stage contribution regressions use previous-cycle PAC contributions as instruments for current rival PAC contributions.

- The logic is that prior giving predicts current giving because PAC-legislator relationships are persistent.
- The concern is that unobserved factors driving prior giving may also drive current giving.

- The paper reports robustness checks using contribution ranks, which reduce sensitivity to the level of contributions.

Interpretation. The IV strategy is helpful for simultaneity among PACs, but the paper's credibility mainly comes from the full pattern of predictions across levels, correlations, seniority, and switching.

8 Tables and figures

8.1 Tables 1 and 2: Contribution levels and observable differences

Read Table 1:

- Table 1 reports contribution levels by commercial-bank PACs, securities/investment-bank PACs, and insurance PACs.
- Banking Committee members receive much larger contributions than nonmembers from each group.
- The difference is especially large for commercial banks: committee members average 32,935 versus 6,134 for nonmembers.
- Securities PACs and insurance PACs also give more to committee members, though the committee premium is smaller than for banks.

Read Table 2:

- Table 2 compares constituency and legislator characteristics for committee members and nonmembers.
- The financial-services employment shares in districts are broadly similar for members and nonmembers.
- Banking Committee members are somewhat less senior in the House than nonmembers in the sample.
- Ideology, party, and prior vote shares are also similar enough that they must be controlled for but do not mechanically explain the contribution differences.

Economic message: Financial-services PACs give substantially more to the committee with jurisdiction over banking legislation, but this fact alone does not prove the reputational theory. It establishes the relevance of the committee for PAC activity.

TABLE 1—FINANCIAL SERVICES' PAC CONTRIBUTIONS TO THE MEMBERS OF THE U.S. HOUSE OF REPRESENTATIVES AND FOR SUBSAMPLES OF THE MEMBERS OF THE HOUSE BANKING COMMITTEE AND THE NONMEMBERS BETWEEN 1983 AND 1992

	Mean contribution per legislator	Standard deviation	Minimum	Maximum	Total value of contributions
A. *Full House*					
Commercial banks	8,877	12,978	0	120,484	14,832,671
Securities firms and investment banks	2,842	5,771	0	84,019	4,749,437
Insurance companies	8,814	11,477	0	88,698	14,728,611
B. *Banking Committee members*					
Commercial banks	32,935	24,257	0	120,484	5,631,834
Securities firms and investment banks	6,890	10,738	0	84,019	1,178,237
Insurance companies	13,480	11,697	0	55,843	2,305,164
C. *Nonmembers of Banking Committee*					
Commercial banks	6,134	6,881	0	58,261	9,200,837
Securities firms and investment banks	2,381	4,687	0	41,135	3,571,200
Insurance companies	8,282	11,335	0	88,698	12,423,447

Notes: All figures are in real 1992 dollars. N = 1,671, with 171 observations of committee members and 1,500 observations of nonmembers.

Table 1: Financial-services PAC contributions to House members, Banking Committee members, and nonmembers.

TABLE 2—MEAN AND STANDARD DEVIATION FOR THE FINANCIAL-SERVICES CONSTITUENCIES AND THE CHARACTERISTICS FOR MEMBERS AND NONMEMBERS OF THE HOUSE BANKING COMMITTEE BETWEEN 1983 AND 1992

	Mean (std. dev.) for members of House Banking Committee	Mean (std. dev.) for nonmembers of House Banking Committee
A. *Financial-services constituencies*		
Percent of total district employment in commercial banking	1.26 (0.87)	1.33 (1.58)
Percent of total district employment in securities firms and investment banks	0.24 (0.29)	0.46 (2.01)
Percent of total district employment in insurance	1.98 (1.24)	2.07 (1.83)
B. *Representatives' characteristics*		
Membership on House Banking Committee	1	0
Seniority, measured as number of electoral cycles in the House	3.49 (2.71)	5.01 (3.86)
Percent of the vote in the previous election	71.30 (14.53)	72.94 (14.12)
Party affiliation (Republican = 1)	0.42 (0.49)	0.38 (0.49)
Americans for Democratic Action index rating (Liberal = 100)	48.92 (35.84)	49.54 (34.26)

Note: N = 1,671, with 171 observations of committee members and 1,500 observations of nonmembers.

Table 2: Financial-services constituencies and legislator characteristics for Banking Committee members and nonmembers.

8.2 Tables 3 and 4: Rival PAC matching versus committee specialization

Read Table 3:

- Table 3 reports correlations among contributions by the three competing financial-services PAC groups.
- For nonmembers of the Banking Committee, rival PAC contributions are strongly positively correlated.
- For Banking Committee members, correlations between banking PACs and rival PACs are near zero or negative.
- The securities and insurance PACs remain positively correlated with each other, but the bank-versus-rival pattern is sharply different inside the committee.

Read Table 4:

- Table 4 reports two-stage least-squares panel regressions of one PAC group's contributions on fitted rival PAC contributions and interactions with Banking Committee membership.
- For noncommittee members, rival PAC contributions are generally positively related. This is consistent with matching behavior toward broadly attractive legislators.
- For committee members, the interaction terms are negative and often of similar or larger magnitude than the nonmember effect.
- In the banking equation, for example, banks match securities contributions to nonmembers but do not match securities contributions to committee members.
- The pattern implies that competing interests tend to support different Banking Committee members rather than all giving to the same members.

Economic message: These tables are the central empirical evidence. They show that the contribution market works differently on the relevant committee: repeated-dealing specialists receive focused support from particular interests.

TABLE 3—CORRELATION OF COMPETING FINANCIAL SERVICES' PAC CONTRIBUTIONS AND CONSTITUENCY CHARACTERISTICS FOR EACH REPRESENTATIVE'S DISTRICT BETWEEN 1983 AND 1992

	House Banking Committee Members			*Nonmembers of House Banking Committee*		
	Banking PAC contributions	Securities PAC contributions	Insurance PAC contributions	Banking PAC contributions	Securities PAC contributions	Insurance PAC contributions
Securities firms' PAC contributions	−0.009 (0.90)	1.000 (0.0)	—	**0.547** (<0.01)	1.000 (0.0)	—
Insurance companies' PAC contributions	−0.042 (0.59)	**0.549** (<0.01)	1.000 (0.0)	**0.505** (<0.01)	**0.632** (<0.01)	1.000 (0.0)

Notes: Below each Pearson correlation coefficient in parentheses is the p-value. Coefficients with p-values less than 10 percent are in bold. N = 1,671, with 171 observations of committee members and 1,500 observations of nonmembers.

Table 3: Correlation of competing financial-services PAC contributions for Banking Committee members and nonmembers.

TABLE 4—TWO-STAGE LEAST-SQUARES PANEL ESTIMATION RELATING FINANCIAL SERVICES' PAC CONTRIBUTIONS TO THE CONTRIBUTIONS OF COMPETING PACS, REPRESENTATIVE CHARACTERISTICS, AND CONSTITUENCY CHARACTERISTICS FOR THE U.S. HOUSE OF REPRESENTATIVES, POOLING FIVE ELECTION CYCLES, 1983/84 TO 1991/92

	Dependent variable						
	Banking PAC contributions	Banking PAC contributions	Banking PAC contributions	Securities PAC contributions	Securities PAC contributions	Insurance PAC contributions	Insurance PAC contributions
	(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)
Banking PAC contributions (fitted value from first stage)	—	—	—	0.38 (20.69)	0.21 (11.46)	0.80 (20.14)	0.33 (8.27)
Banking contributions × Banking Committee membership	—	—	—	−0.39 (−14.97)	−0.21 (−8.65)	−0.84 (−15.38)	−0.38 (−7.28)
Securities PAC contributions (fitted value from first stage)	0.80 (15.85)	—	0.61 (9.41)	—	—	—	1.31 (22.29)
Securities contributions × Banking Committee membership	−0.95 (−10.76)	—	−0.61 (−5.56)	—	—	—	−0.64 (−6.77)
Insurance PAC contributions (fitted value from first stage)	—	0.30 (13.46)	0.13 (4.95)	—	0.21 (18.93)	—	—
Insurance contributions × Banking Committee membership	—	−0.46 (−6.95)	−0.26 (−3.42)	—	0.25 (8.43)	—	—
Banking Committee membership (1 if on the committee)	46,211 (9.59)	62,085 (12.43)	46,976 (9.69)	2,030 (0.73)	−1,133 (−0.47)	10,258 (1.70)	5,706 (1.10)
Seniority, measured as number of electoral cycles in House	−96.50 (−1.69)	−32.99 (−0.55)	−84.68 (−1.50)	107.78 (3.51)	96.43 (3.66)	39.24 (0.59)	−93.41 (−1.63)
Seniority × Banking Committee membership	2,750 (9.51)	2,186 (7.91)	2,573 (8.92)	1,897 (13.29)	1,294 (10.07)	1,368 (4.54)	190.74 (0.63)
Percent of the vote in the previous election	−17.32 (−1.10)	−6.37 (−0.38)	−13.68 (−0.88)	9.62 (1.13)	12.71 (1.74)	−12.63 (−0.69)	−27.02 (−1.71)
Percent of vote × Banking Committee membership	−154.44 (−3.20)	−217.25 (−4.26)	−166.93 (−3.49)	−37.00 (−1.41)	−13.94 (−0.62)	−47.60 (−0.84)	−17.80 (−0.36)
Party affiliation (1 if Republican)	−1,920 (−2.60)	−1,861 (−2.37)	−1,909 (−2.60)	715.62 (1.79)	426.92 (1.23)	971.01 (1.11)	132.19 (0.18)
Party affiliation × Banking Committee membership	−16,434 (−6.41)	−20,586 (−7.67)	−15,913 (−6.25)	1,940 (1.36)	−224.06 (−0.18)	3,412 (1.11)	2,521 (0.95)
Americans for Democratic Action index (Liberal = 100)	−49.09 (−4.67)	−33.04 (−2.97)	−44.11 (−4.20)	26.33 (4.61)	24.27 (4.92)	5.44 (0.44)	−28.34 (−2.64)
Americans for Democratic Action index × Banking Committee membership	−267.71 (−7.36)	−386.13 (−10.51)	−271.62 (−7.49)	69.98 (3.46)	52.74 (3.02)	12.87 (0.29)	−14.00 (−0.37)
Percent of total district employment in commercial banking	38.37 (0.10)	506.91 (2.35)	206.62 (0.46)	−125.64 (−0.63)	139.29 (0.66)	−1,063 (−4.46)	−2,085 (−4.63)

Table 4, part 1: Two-stage least-squares estimates of PAC responses to rival PAC giving.

8.3 Table 4 continued and Table 5: Controls and reputation building

Read Table 4 continued:

- The continuation of Table 4 shows the constituency employment controls and adjusted R^2 values.
- District employment in the relevant financial-services sector often matters, but the committee interaction patterns remain after controlling for constituency characteristics.
- The estimates include election-cycle indicators, so the results are not driven by common time trends in campaign finance.

Read Table 5:

- Table 5 studies the concentration of financial-services PAC contributions to Banking Committee members.
- The dependent variable is an HHI measure of contribution-source concentration.
- Log seniority on the Banking Committee is positively related to HHI.

- The result holds when the HHI is computed using only financial-services PACs and when financial-services PACs are placed in the broader all-PAC contribution market.
- The positive seniority effect is consistent with a reputation-building process: over time, a committee member's contributors become more concentrated among the interests that value that member's reputation.

Economic message: The reputational relationship is dynamic. Committee membership becomes more valuable as legislators accumulate observable histories with particular interest groups.

TABLE 4—*Continued*

	Dependent variable						
	Banking PAC contributions	Banking PAC contributions	Banking PAC contributions	Securities PAC contributions	Securities PAC contributions	Insurance PAC contributions	Insurance PAC contributions
Percent commercial banking employment × Banking Committee membership	9,622 (9.93)	4,634 (4.94)	8,854 (8.66)	−1,799 (−3.27)	−870.00 (−1.73)	−1,065 (−1.01)	1,462 (1.35)
Percent of total district employment in securities	8.14 (0.03)	—	−36.78 (−0.12)	406.98 (2.59)	253.32 (1.80)	—	518.29 (1.70)
Percent securities employment × Banking Committee membership	−31,005 (−11.37)	—	−33,479 (−11.60)	−2,534 (−1.60)	671.23 (0.46)	—	−2,550 (−0.81)
Percent of total district employment in insurance	—	−221.72 (−1.16)	−98.30 (−0.53)	—	−132.32 (−1.51)	1,437 (6.92)	1,349 (7.27)
Percent insurance employment × Banking Committee membership	—	−635.41 (−0.97)	1,847 (2.79)	—	−1,026 (−3.33)	−442.79 (−0.62)	288.13 (0.43)
Adjusted R^2	0.58	0.54	0.59	0.38	0.55	0.26	0.45

Notes: Time indicators for each electoral cycle and an intercept are included in all specifications but their coefficient

Table 4, part 2: Continued two-stage estimates with constituency controls and model fit.

TABLE 5—OLS PANEL ESTIMATION RELATING THE CONCENTRATION OF FINANCIAL SERVICES' PAC CONTRIBUTIONS (HHI)[a] FOR MEMBERS OF THE HOUSE COMMITTEE TO THE LOG OF THEIR SENIORITY, AGE, AND OTHER CHARACTERISTICS, FOR THE FIVE ELECTORAL CYCLES, 1983/84 TO 1991/92

	Dependent variable			
	HHI of financial services' PAC contributions to each member considering only financial services' PAC contributions (Mean = 5,448)		HHI of PAC contributions to each member considering all-PAC contributions (Mean = 340.62)	
	(i)	(ii)	(iii)	(iv)
Log of seniority, measured as number of election cycles on Banking Committee	724.61 (2.14)	383.16 (2.62)	145.25 (2.13)	164.71 (5.79)
Percent of the vote in the previous election	—	−7.89 (−1.20)	—	0.44 (0.35)
Americans for Democratic Action index (Liberal = 100)	—	−19.97 (−4.13)	—	−3.99 (−4.26)
Age of the legislator	—	−33.34 (−2.79)	—	−5.97 (−2.58)
Party affiliation (1 if Republican)	—	−1,509 (−4.43)	—	−182.69 (−2.77)
Percent of total district employment in banking	—	547.53 (4.45)	—	64.99 (2.73)
Percent of total district employment in securities	—	−1,703 (−4.45)	—	−324.26 (−4.37)
Percent of total district employment in insurance	—	84.55 (0.98)	—	4.31 (0.26)
Includes legislator fixed effects?	Yes	No	Yes	No
R^2	0.83	0.30	0.83	0.34

Notes: All regressions include time indicators for each electoral cycle, but their coefficient estimates are not reported. N = 207 member-years. t-statistics are in parentheses.

Table 5: Contribution-source concentration and Banking Committee seniority.

8.4 Table 6 and Appendix Table A1: Switching and sample variables

Read Table 6:

- Table 6 estimates the likelihood that a Banking Committee member switches to another committee.
- Members with lower fitted PAC-source concentration are more likely to switch.
- Seniority is also negatively related to switching, meaning that members who have invested less time in the committee are more likely to leave.
- This supports the idea that legislators who fail to build strong committee-specific reputations have weaker incentives to stay.

Read Appendix Table A1:

- Appendix Table A1 reports sample statistics for the variables used in Tables 4, 5, and 6.
- The Table 4 sample has 1,671 legislator-cycle observations.
- The concentration and switching analyses use 207 Banking Committee member-year observations.

- The summary statistics clarify the scale of contributions, committee membership, seniority, ideology, constituency employment, HHI, age, and switching.

Economic message: The final empirical piece connects reputation to committee assignment stability. Contribution-source concentration is not only an outcome; it also predicts who stays in the repeated-dealing environment.

TABLE 6—PROBIT ESTIMATION OF FACTORS AFFECTING THE LIKELIHOOD OF A MEMBER OF THE HOUSE BANKING COMMITTEE SWITCHING TO ANOTHER COMMITTEE, DURING THE FIVE ELECTORAL CYCLES, 1983/84 TO 1991/92

	(i)	(ii)	(iii)	(iv)
HHI[a] for financial services' PAC contributions alone [fitted value from Table 5, column (i)]	−0.68 (−1.64)	−1.13 (−2.04)	—	—
HHI[a] for financial services' PAC contributions in total contributions [fitted value from Table 5, column (iii)]	—	—	−0.27 (−2.76)	−0.19 (1.50)
Log of seniority, measured as number of election cycles on the Banking Committee	—	−1.14 (−6.04)	—	−1.09 (−5.53)
Percent of the vote in the previous election	—	0.01 (1.75)	—	0.02 (1.93)
Americans for Democratic Action index (Liberal = 100)	—	−0.01 (−1.06)	—	−0.01 (−0.85)
Party affiliation (1 if Republican)	—	−0.14 (−0.39)	—	0.07 (0.21)
Percent of total district employment in banking	—	0.04 (0.25)	—	−0.01 (−0.07)
Percent of total district employment in securities	—	−0.64 (−1.35)	—	−0.61 (−1.23)
Percent of total district employment in insurance	—	0.17 (1.63)	—	0.15 (1.39)
Pseudo-R^2	0.02	0.25	0.04	0.24

Notes: All regressions include time indicators for each electoral cycle, but their coefficient estimates are not reported. N = 207 member years. Asymptotic t-statistics are in parentheses.

Table 6: Probit estimates of switching away from the House Banking Committee.

APPENDIX

TABLE A1—SAMPLE STATISTICS FOR VARIABLES USED IN THE REGRESSIONS

	Mean (standard deviation)
A. *Variables in Table 4* (N = 1,671)	
Banking PAC contributions	8,876 (12,977)
Securities PAC contributions	2,842 (5,771)
Insurance PAC contributions	8,814 (11,477)
Banking Committee membership (1 if on the committee)	0.10 (0.30)
Seniority, measured as number of electoral cycles in House	4.85 (3.79)
Percent of the vote in the previous election	71.87 (14.16)
Party affiliation (1 if Republican)	0.39 (0.49)
Americans for Democratic Action index (Liberal = 100)	49.48 (34.41)
Percent of total district employment in commercial banking	1.33 (1.53)
Percent of total district employment in securities	0.43 (1.91)
Percent of total district employment in insurance	2.06 (1.78)
B. *Variables in Tables* 5 *and* 6 (N = 207)	
HHI for financial services' PAC contributions alone	5,448 (1,457)
HHI for financial service's PAC contributions in total contributions	340.63 (292.99)
Log of seniority, measured by number of election cycles on House Banking Committee	1.01 (0.75)
Age of the legislator	47.91 (8.89)
Switch committee assignments (1 if member switches)	0.28 (0.45)

Appendix Table A1: Summary statistics for variables used in the regressions.

9 Short summary

- The paper develops a positive theory in which interest-group competition helps explain the organization of Congress.
- Because explicit fee-for-service contracts between PACs and legislators are unenforceable, committees support implicit contracts through repetition and reputation.
- The modern committee system's standing nature, stable assignments, specialized jurisdictions, and limited memberships all help sustain repeat dealing.
- The empirical setting is financial-services regulation, especially the conflict over bank entry into securities and insurance businesses.
- The key PAC groups are commercial banks, securities firms/investment banks, and insurance companies.

- House Banking Committee members receive more financial-services PAC money than nonmembers.
- Rival PACs tend to match each other's contributions to noncommittee legislators.
- Rival PACs do not match each other's contributions to Banking Committee members; instead, they concentrate on different members.
- Contribution-source concentration rises with committee seniority, consistent with reputation formation.
- Members with less concentrated PAC support are more likely to switch committees.
- The evidence supports the view that committees help solve implicit-contracting problems between legislators and organized interests.

10 Conclusion

10.1 Core conclusion

Kroszner and Stratmann argue that the committee system helps solve a contracting problem between legislators and special-interest groups. Since PACs cannot write enforceable contracts for legislative service, repeated interaction and reputation become essential. Standing committees create precisely this environment.

10.2 Economic intuition

A committee member who repeatedly handles banking legislation can develop a clear reputation with one side of a policy conflict. A commercial-bank PAC, for example, is more willing to give to a member who has repeatedly worked to expand bank powers. Securities or insurance PACs will tend to support different members whose reputations are closer to their interests. Noncommittee legislators cannot develop the same specialized record, so rival PACs are more likely to give to the same broadly useful legislators.

10.3 Incremental contribution revisited

The paper's contribution is to connect the internal organization of Congress to interest-group competition. It complements theories of committees as information systems, party tools, or logrolling devices by showing how committees can also facilitate long-term PAC-legislator relationships.

10.4 Implications

The theory implies that term limits, committee turnover, or reforms that weaken repeated relationships may reduce the ability of PACs and legislators to sustain reputational equilibria. Stronger antibribery enforcement may make committee-based reputation more important because explicit contracts are less feasible. Campaign-finance restrictions may change not only total contributions but also the structure of relationships between PACs and legislators.

10.5 Limitations

The evidence is observational and focuses on one policy area. The instruments and controls help address simultaneity and observable confounds, but the paper does not provide randomized assignment to committee membership. The results are best read as a coherent pattern of evidence consistent with the theory rather than a clean causal estimate of the value of committee reputation.

10.6 Takeaway

The enduring takeaway is that congressional organization can be shaped by the need to make implicit political exchange credible. In the financial-services setting, rival PACs behave as if the Banking Committee creates a market for specialized reputations: committee members receive more money, rivals support different members, reputations sharpen with seniority, and weak reputational ties predict committee exit.